ACADEMIC CENTRAL

PRACTICE EXAMINATION

# GRADE 10

# BUSINESS STUDIES

## PAPER 1

**MARKS: 100** **TIME: 2 hours**

**Topics: business environments, business functions, entrepreneurship, forms of ownership and socio-economic issues.**

Written by Academic Central for practice, following the CAPS curriculum for Grade 10. The businesses and people are invented. It is not a Department of Basic Education examination paper.

## INSTRUCTIONS AND INFORMATION

1. This paper has THREE sections. SECTION A: answer QUESTION 1. SECTION B: answer QUESTIONS 2 and 3. SECTION C: answer the essay in QUESTION 4.
2. Read each question carefully and take note of what is required. Use the mark allocation as a guide to how much to write.
3. Write in full sentences unless asked to "name" or "list".

## SECTION A

## QUESTION 1

**1.1** Choose the correct answer. Write only the letter (A–D).

1.1.1 The business environment over which a business has full control is the … environment.

A micro B market
C macro D global

1.1.2 Competitors form part of the … environment.

A micro B market
C macro D internal

1.1.3 A business that turns raw materials into products operates in the … sector.

A primary B secondary
C tertiary D informal

1.1.4 A form of ownership with one owner and unlimited liability is a …

A partnership. B sole trader.
C private company. D public company.

1.1.5 Inflation, interest rates and government laws are part of the … environment.

A micro B market
C macro D internal

(5 × 2)
(10)

**1.2** Choose the correct word(s) in brackets.

1.2.1 (Suppliers / Consumers) provide the business with raw materials and goods.

1.2.2 The purchasing function is responsible for (buying / selling) the goods the business needs.

1.2.3 A (vision / mission) statement describes where the business wants to be in the future.

1.2.4 In a SWOT analysis, strengths and weaknesses are (internal / external) factors.

1.2.5 Corporate social (responsibility / profit) is a business's duty to care for the community and the environment. (5 × 2)
(10)

**1.3** Choose a description from COLUMN B that matches a term in COLUMN A. Write only the letter.

| COLUMN A | COLUMN B |
|---|---|
| 1.3.1 Entrepreneur | A Creates a positive image of the business among the public |
| 1.3.2 Public relations function | B A written document that describes a business, its goals and how it will reach them |
| 1.3.3 Unemployment | C A person who sees an opportunity and takes a risk to start a business |
| 1.3.4 Business plan | D People who are willing and able to work cannot find jobs |
| 1.3.5 Inequality | E The unequal sharing of income and wealth in a society |
| | F The selling of shares on the stock exchange |

(5 × 2)
(10)

**TOTAL SECTION A: 30**

## SECTION B

## QUESTION 2: BUSINESS ENVIRONMENTS AND FUNCTIONS

**2.1** Name THREE components of the micro environment. (3)

**2.2** Read the scenario below and answer the question that follows.

**FRESH BAKES**

Fresh Bakes is a bakery in Soweto. This year a new bakery opened across the road. The price of electricity went up sharply, and long periods of load shedding stopped the ovens from working.

Identify THREE challenges facing Fresh Bakes from the scenario. For each challenge, name the business environment it belongs to. (6)

**2.3** Suggest TWO ways in which Fresh Bakes could deal with load shedding. (4)

**2.4** Name FOUR business functions. (4)

**2.5** Explain the importance of the human resources function for a business. (3)

**[20]**

## QUESTION 3: BUSINESS VENTURES

**3.1** Name FOUR qualities of a successful entrepreneur. (4)

**3.2** Tabulate the differences between a sole trader and a partnership. Use these points: number of owners, liability, and continuity. (6)

**3.3** Ayanda wants to start a car wash next to a busy taxi rank. She has R5 000 in savings and is very good with customers, but she has no business experience. Do a SWOT analysis for her business: give ONE example each of a strength, a weakness, an opportunity and a threat. (8)

**3.4** Name TWO sources of funding Ayanda could use to start her business. (2)

**[20]**

**TOTAL SECTION B: 40**

## SECTION C

## QUESTION 4: SOCIO-ECONOMIC ISSUES (ESSAY)

Unemployment, poverty and crime are serious problems in South Africa, and they affect businesses too.

Write an essay in which you:

- Explain the meaning of unemployment, poverty and crime as socio-economic issues.
- Discuss how EACH of these issues affects businesses.
- Suggest ways in which businesses can help to reduce these problems through corporate social responsibility.

[30]

**TOTAL SECTION C: 30 · GRAND TOTAL: 100**

**END OF QUESTION PAPER**